

### **Intercompany Trading in D365 F&O**

- Intercompany accounting involves recording financial transactions between different legal entities within the same parent company.
- Common scenarios include sales and purchases of services and goods between a parent company and its subsidiaries, fee sharing, cost allocations, royalties, and financial activities.

#### ***Types of Intercompany:***

- Purchase order initiated intercompany chain (two-legged) – An intercompany chain in which the initiating order is a purchase order.
- Sales order initiated intercompany chain (two-legged) – An intercompany chain in which the initiating order is a sales order.
- Sales order initiated intercompany chain. Intercompany company with an external customer-facing sales order – Also called the “original sales order” (three-legged).

#### ***Setups Required:***

- The same item should be present in buying and selling legal entities.

**Note:** Intercompany does not support the procurement categories.

- Purchase and sales prices should be set up, if the cost price is not set up as unit price.
- Default storage dimensions should be set on the customer, vendor, or item.

#### ***Setup Trading Relations:***

Let's consider USMF (selling legal entity) and DEMF (Buying legal entity) i.e., USMF should have DEMF as the customer and DEMF should have USMF as the vendor. To set up intercompany trade for customers and vendors, follow these steps:

- Navigate to USMF legal entity.
- Go to **Accounts receivable > Customers > All customers**.
- Select a Customer Account. (For Demo I have created DEMF as a customer account).
- On the Action Pane, on the **General** tab, select **Intercompany**.
- Specify intercompany setup parameters for the customer account. These parameters include the legal entity that contains the corresponding vendor and the vendor account. The parameters also include the purchase order policies, sales order policies, value mapping, and policies for sales agreements and purchase agreements. You also specify whether to use base data values from the customer account or the vendor account in the other legal entity.

Finance and Operations Search for a page

Save Options

DEMF-001 : DEMF Customer | Standard view

## Intercompany

Trading relationship

Purchase order policies

Purchase value mapping

Purchase agreement policies

Sales order policies

Sales value mapping

Sales agreement policies

Set up trading relationship

[Remove relationship](#)

**ACTIVATION**

Active ☒ Yes

**SALES RELATION**

My Company

usmf

Customer account

DEMF-001

**PURCHASE RELATION**

Vendor company

DEMF

My account

USMF-001

- After establishing the trade relationship, navigate to the relevant customer master form > under the miscellaneous details fast tab, intercompany functionality will become active. Also, the relevant company and vendor account will be displayed.

Miscellaneous details Always

One-time customer ☒ No

Statistics group

Account statement

Always

**CUSTOMER SELF-SERVICE**

History available

Web orders

**GOVERNMENT IDENTIFICATION**

ID number

Country/region

State

**REMITTANCE**

Vendor account

**AUTOMATIC NOTIFICATION AND CANCELLATION PROCESSING**

Automatic notification and cancellations

☒ No

**FEDERAL ATTRIBUTES**

Federal/Non-Federal Indicator

Trading partner code

Agency location code

1099-C indicator

☒ No

Comments

**INTERCOMPANY**

Active ☒ Yes

Company

DEMF

Vendor account

USMF-001

Create intercompany orders

☒ No

Direct delivery

☒ No

Create indirect order lines

☒ No

- Navigate to DEMF Legal entity (buying or purchasing legal entity)
- Go to Accounts payable > Vendors > All vendors.
- Select a vendor account. (For Demo I have created USMF Vendor as a vendor account)
- On the Action Pane, on the General tab, select Intercompany.
- Specify intercompany setup parameters for the vendor account. These parameters include the legal entity that contains the corresponding customer and the customer account. The parameters also include the sales order policies, purchase order policies, value mapping, and policies for purchase agreements and sales agreements. You also specify whether to use base data values from the vendor account or from the customer account in the other legal entity.

USMF-001 : USMF Vendor | Standard view

## Intercompany

Trading relationship

Set up trading relationship

Purchase order policies
Purchase value mapping
Purchase agreement policies
Sales order policies
Sales value mapping
Sales agreement policies

Remove relationship

**ACTIVATION**  
Active  
☒ Yes

**PURCHASE RELATION**  
My Company  
DEMF

**SALES RELATION**  
Customer company  
usmf

Vendor account  
USMF-001

My account  
DEMF-001

- After establishing the trade relationship, navigate to the relevant vendor master form > under the miscellaneous details fast tab, intercompany functionality will become active. Also, the relevant company and customer account will be displayed.

All vendors

Standard view

USMF-001 : USMF Vendor

General 50 Not Active

Addresses

Contact information

Miscellaneous details -- 0.00 No

|                                                        |                                      |                                                 |                                         |                                                                                                                             |                                      |
|--------------------------------------------------------|--------------------------------------|-------------------------------------------------|-----------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|--------------------------------------|
| <b>CREDIT</b><br>Credit rating<br>Credit limit<br>0.00 | <b>ADMINISTRATION</b><br>Buyer group | <b>CURRENT HOLD STATUS</b><br>Vendor hold<br>No | Reason code<br>Vendor hold release date | <b>INTERCOMPANY</b><br>Active<br><input checked="" type="checkbox"/> Yes<br>Company<br>usmf<br>Customer account<br>DEMF-001 | <b>REBATE</b><br>Vendor rebate group |
|--------------------------------------------------------|--------------------------------------|-------------------------------------------------|-----------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|--------------------------------------|

- In the buying and selling legal entity, navigate to the released product form > select the relevant item, and make sure that the intercompany stopped functionality is disabled in the purchase and sell fast tab.

Purchase ea

|                                                                                                                                                                                             |                                                                                                                                                                                                      |                                                                                                                                   |                                                                                                                                                                                                                                    |                                                                                                                                                                                      |                                                                                                                   |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|
| <b>PURCHASE ORDER</b><br>Unit<br>ea<br>Overdelivery<br>0.00<br>Underdelivery<br>0.00<br>Intercompany stopped<br><input checked="" type="radio"/> No<br><b>ADMINISTRATION</b><br>Buyer group | Item price tolerance group<br>Vendor<br><b>TAXATION</b><br>Item sales tax group<br><b>PRICE UPDATE</b><br>Latest purchase price<br><input checked="" type="radio"/> No<br>Date of price<br>1/18/2017 | <b>PRICES</b><br>Price<br>899.00<br>Price quantity<br>1.00<br><b>CHARGES</b><br>Price charges<br>0.00<br>Charges quantity<br>0.00 | Charges group<br>Incl. in unit price<br><input checked="" type="radio"/> No<br><b>DISCOUNTS</b><br>Line discount group<br>Multiline discount<br>Total discount<br><input checked="" type="radio"/> Yes<br>Supplementary item group | Pricing precision<br><b>VENDOR REBATE</b><br>Vendor rebate item group<br><b>APPROVED VENDOR</b><br>Approved vendor check method<br>Warning only<br><b>VOYAGES</b><br>Cost type group | Customs description<br>Arrival group<br>Commodity code<br>Over/under tolerance group<br>Transfer order cost group |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|

Sell es | 1,1

|                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                   |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>SALES ORDER</b><br>Unit: <input type="text" value="BA"/><br>Overdelivery: 0.00<br>Underdelivery: 0.00<br>Intercompany stopped: <input checked="" type="radio"/> No<br><b>ADMINISTRATION</b><br>Commission group:<br><b>TAXATION</b><br>Item sales tax group: | <b>PRICE UPDATE</b><br>Sales price model: None<br>Base price:<br>Purchase price:<br>Contribution ratio: 0.00<br>Charges percentage: 0.00<br>Date of price: 4/13/2020<br><b>BASE SALES PRICE</b><br>Price: 1,900.00<br>Price quantity: 1.00<br><b>CHARGES</b> | Charges quantity: 0.00<br>Charges group:<br>Incl. in unit price: <input checked="" type="radio"/> No<br><b>DISCOUNTS</b><br>Line discount group:<br>Multiline discount:<br>Total discount: <input checked="" type="radio"/> Yes<br>Supplementary item group:<br><b>ALTERNATIVE PRODUCT</b><br>When to use: | Alternative item number:<br>Configuration:<br>Size:<br>Color:<br>Style:<br><b>INSTALLMENTS</b><br>Installment eligible: <input checked="" type="radio"/> No<br>Pricing precision:<br><b>AUTOMATIC NOTIFICATION AND CANCELLATION PROCESSING</b><br>Automatic notification and cancell... | <b>PRICE ADJUST</b><br>Allow price adjust: <input checked="" type="radio"/> Yes<br><b>CONTINUITY</b><br>Continuity schedule ID:<br>Event duration: 0<br><b>SELL DATES</b><br>Sell start date:<br>Sell end date:<br><b>ITEM REBATE GROUP</b><br>Item rebate group: |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

**Purchase Order Policies:** Purchase order policies control the interaction (business rules) between the two trading entities.

Finance and Operations USMF | Contoso Entertainment Sys

Search for a page

Save Options

DEMF-001 : DEMF Customer | Standard view

### Intercompany

Trading relationship  
Purchase order policies  
Purchase value mapping  
Purchase agreement policies  
Sales order policies  
Sales value mapping  
Sales agreement policies

#### Set up purchase action policies

**ORIGINAL SALES ORDER (DIRECT DELIVERY)**  
☐ Print packing slip automatically  
☒ Post invoice automatically  
☐ Print invoice automatically

**INTERCOMPANY PURCHASE ORDER (DIRECT DELIVERY)**  
☐ Print product receipt automatically  
☒ Post invoice automatically  
☐ Print invoice automatically  
☐ Bypass vendor invoice workflow for intercompany vendor invoices

**CHARGES ALLOCATION**  
Charges allocation:   
☐ Stocked lines only

**INTERCOMPANY PURCHASE ORDER PRICES**  
☒ Price and discount search  
☒ Allow price edit  
☒ Allow discount edit

**ORIGINAL SALES ORDER <-> INTERCOMPANY PURCHASE ORDER**  
Select the appropriate checkbox or checkboxes to sync the following data.  
☐ Customer information on the header  
☐ RMA number on the header  
☐ Price and discount on lines  
☐ Update Requested receipt date with Confirmed date

**INTERCOMPANY PURCHASE ORDER -> INTERCOMPANY SALES ORDER**  
Select the appropriate checkbox or checkboxes to sync the following data.  
☐ Customer information on the header  
☐ RMA number on the header  
☐ Batch number on inventory transactions  
☐ Serial number on inventory transactions  
☐ Batch number on order lines  
☐ Serial number on order lines  
☐ Disable requested ship and receipt dates synchronization

- The headers **“Original sales order (Direct delivery)”** and **“Intercompany purchase order (Direct delivery)”** determine how to update packing slips and invoices and document printing for the original sales order if the intercompany purchase and sales order is direct delivery. It is essential to state that this does not apply to orders which are not direct delivery.
- The headers **“Charges Allocation”** and **“Intercompany purchase order prices”** determine the ability to edit prices and discounts and how charges are allocated.
- The headers **“Original sales order <-> Intercompany purchase order”** and **“Intercompany purchase order -> Intercompany sales order”** determine which data is synchronized between the trading entities.

**Purchase Value Mapping:** Value mapping is the translation of specific values between two trading entities. For example, an external code can be added to the e.g., delivery mode in NAE (LE). This external code must also be created in USMF for translation to work.

Finance and Operations

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USMF | Contoso Entertainment Syste...

SaveOptions

DEMF-001 : DEMF Customer | Standard view

Intercompany

Trading relationship

Purchase order policies

Purchase value mapping

Purchase agreement policies

Sales order policies

Sales value mapping

Sales agreement policies

Set up purchase value mapping

OTHER BASE DATA

MODE OF DELIVERY CODE

DELIVERY TERMS CODES

CHARGES CODE

INTERCOMPANY

RETURN REASON CODE

DISPOSITION CODE

INVENTORY PROFILE CODE

AGREEMENTS

CLASSIFICATION

**Purchase Agreement Policies:**

On the purchase agreement policies tab, it is possible to control whether the buying legal entity can modify terms in a purchase agreement such as price, discount and validity period.

Finance and Operations

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SaveOptions

DEMF-001 : DEMF Customer | Standard view

Intercompany

Trading relationship

Purchase order policies

Purchase value mapping

Purchase agreement policies

Sales order policies

Sales value mapping

Sales agreement policies

Set up purchase agreement action policies

INTERCOMPANY PURCHASE AGREEMENT

INTERCOMPANY PURCHASE AGREEMENT PRICES

**Sales Order Policies:** Sales order policies control intercompany sales orders in multiple aspects.

Finance and Operations Search for a page USMF | Contoso Entertainment Syste...

DEMF-001 : DEMF Customer | Standard view

### Intercompany

Trading relationship  
Purchase order policies  
Purchase value mapping  
Purchase agreement policies  
**Sales order policies**  
Sales value mapping  
Sales agreement policies

#### Set up sales action policies

##### INTERCOMPANY SALES ORDER CREATION

Sales order numbering  
Company + original number  
Number sequence code  
☐ Allow summary update of documents for original customer  
☐ Print picking list automatically  

##### INTERCOMPANY SALES ORDER -> INTERCOMPANY PURCHASE ORDER

Select the appropriate checkbox or checkboxes to sync the following data.  
☐ Customer information on the header  
☐ RMA number on the header  
☐ Batch number on inventory transactions  
☐ Serial number on inventory transactions  
☐ Batch number on order lines  
☐ Serial number on order lines  
☐ Disable requested ship and receipt dates synchronization

##### PAYMENT

Payment journal  
☐ Post journal automatically

##### INTERCOMPANY CUSTOMER INVOICE POSTING

☒ Unit price equal to cost price  
☐ Initiate original customer invoice posting

##### INTERCOMPANY SALES ORDER PRICES

☒ Price and discount search  
☐ Price and discount search for derived line creation  
☒ Allow price edit  
☒ Allow discount edit

- The header **“Intercompany sales order creation”** determines the sales order creation and picking list printing.
- The header **“Payment”** determines what payment journal to use and whether posting should happen automatically.
- The header **“Intercompany customer invoice posting”** determines the sales order posting and price used for posting.
- The header **“Intercompany sales order prices”** determines how to control pricing between the intercompany sales order and purchase order.
- The header **“Intercompany sales order -> Intercompany purchase order”** determines how data is synchronized between the intercompany sales order and purchase order.

**Sales Value Mapping:** The sales value mapping is the same as purchase value mapping, just the other way around. Purchase order policies apply to the vendor, while sales order policies apply to the Customer.

Finance and Operations Search for a page USMF | Contoso Entertainment Syste...

DEMF-001 : DEMF Customer | Standard view

### Intercompany

Trading relationship  
Purchase order policies  
Purchase value mapping  
Purchase agreement policies  
Sales order policies  
**Sales value mapping**  
Sales agreement policies

#### Set up sales value mapping

| OTHER BASE DATA                       | INTERCOMPANY              | AGREEMENTS                      |
|---------------------------------------|---------------------------|---------------------------------|
| MODE OF DELIVERY CODE<br>Our          | RETURN REASON CODE<br>Our | CLASSIFICATION<br>Not specified |
| DELIVERY TERMS CODES<br>Not specified | DISPOSITION CODE<br>Our   |                                 |
| CHARGES CODE<br>Our                   | INVENTORY PROFILE CODE    |                                 |
| External code                         |                           |                                 |

**Sales Agreement Policies:** On the sales agreement policies tab, it is possible to control whether the selling party can modify terms in a sales agreement, such as price, discount, and validity period.

Finance and Operations Search for a page USMF | Contoso Entertainment System...

Save Options

DEMF-001 : DEMF Customer | Standard view

### Intercompany

Trading relationship

Purchase order policies

Purchase value mapping

Purchase agreement policies

Sales order policies

Sales value mapping

Sales agreement policies

#### Set up sales agreement action policies

| INTERCOMPANY SALES AGREEMENT                                         | INTERCOMPANY SALES AGREEMENT PRICES                     |
|----------------------------------------------------------------------|---------------------------------------------------------|
| <input checked="" type="checkbox"/> Allow setting on hold /effective | <input checked="" type="checkbox"/> Allow price edit    |
| <input checked="" type="checkbox"/> Allow edit of validity period    | <input checked="" type="checkbox"/> Allow discount edit |

### Default storage dimension on the customer master and vendor master

- In the USMF legal entity, navigate to Account Receivables > Customer > All customers. Select the relevant customer account.
- Under the Sales order default fast tab, enter the default warehouse.

All customers | Standard view

### DEMF-001 : DEMF Customer

Miscellaneous details

Sales demographics

Credit and collections

Sales order defaults

**SALES ORDER**

Charges group

Site

Warehouse

Item - customer group

Commission group

Sales group

Sales order pool

Account number

Intercompany

Order entry deadline

**DISCOUNT**

Multiline discount

Total discount

Price

Line discount

Customer rebate group

Customer TMA group

**GROUPS**

Postage group

Supplementary item

Automatic cancel

**ALLOCATION**

Priority

**ADVANCED NOTES**

Advanced notes group

- In the DEMF legal entity, navigate to Account Payables > Vendor > All vendors. Select the relevant vendor account.
- Under the purchase order defaults fast tab, enter the default warehouse.

All vendors | Standard view

### USMF-001 : USMF Vendor

Vendor profile

Purchasing demographics

Invoice and delivery

**Purchase order defaults**

**PURCHASE ORDER**

Charges group

Site

Warehouse

Default inventory status ID

Item - vendor group

Purchase pool

Our account number

Amount in transaction currency

Purchase order prices/amount

Purchase calendar

Send purchase order via XML

**DISCOUNT**

Multiline discount

Total discount group

Price group

Line discount group

**SUPPLEMENTARY ITEM**

Supplementary item group

**CHANGE MANAGEMENT FOR PURCHASE ORDERS**

Override settings

Activate change management

Allow override of settings per pu...

**ADVANCED NOTES**

Advanced notes group

**Scenario 1:** Sales order initiated intercompany chain (two-legged).

**Step 1:** Create a Sales Order in USMF.

Standard view ▾  
Create sales order

ADDRESS

Delivery name: DEMF Customer  
Address: Portsmouth, NH 00210 USA

Delivery address: DEMF Customer +

General 000886 ^

**SALES ORDER**  
Sales order: 000886  
Invoice account: DEMF-001  
Order type: Sales order  
Name: DEMF Customer

**CURRENCY**  
Currency: USD

**STORAGE DIMENSIONS**  
Site: 1  
Warehouse: 13

**INTERCOMPANY**  
Intercompany: Yes  
DEMF

**REFERENCES**  
Customer requisition:  
Customer reference:

OK Cancel

**Step 2:** Add the item to the sales order lines

| Sales order lines                                                                                                                                     |             |                    |                |             |         |          |      |               |               |               |      |           |            |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|--------------------|----------------|-------------|---------|----------|------|---------------|---------------|---------------|------|-----------|------------|
| + Add line + Add lines Add products Remove Sales order line Financials Inventory Product and supply Update line Warehouse Retail Engineering change ▾ |             |                    |                |             |         |          |      |               |               |               |      |           |            |
|                                                                                                                                                       | Item number | Product name       | Sales category | CW quantity | CW unit | Quantity | Unit | Delivery type | CW deliver... | Adjusted u... | Site | Warehouse | Unit price |
|                                                                                                                                                       | 1000        | Surface Pro 128 GB |                |             |         | 5.00     | ea   | Stock         |               | 0.00000       | 1    | 13        | 899.00     |

The unit price of 899 comes from the cost price mentioned in the item master because in the sales order policies **unit price is equal to the cost price** functionality is enabled.

| Finance and Operations                                                                                                     |          |               |            |                   |
|----------------------------------------------------------------------------------------------------------------------------|----------|---------------|------------|-------------------|
| Search for a page                                                                                                          |          |               |            |                   |
| USMF   Contoso Entertainment Syste...                                                                                      |          |               |            |                   |
| Transactions Dimensions display Std. cost transactions Physical quantity Cost entries Inventory statement and KPIs Options |          |               |            |                   |
| Cost objects   1000 : 1001                                                                                                 |          |               |            |                   |
| Standard view                                                                                                              |          |               |            |                   |
| Overview                                                                                                                   |          |               |            |                   |
| Site                                                                                                                       | Quantity | Inventory ... | Value      | Average unit cost |
| 1                                                                                                                          | 410.00   | ea            | 368,590.00 | 899.00            |

**Step 3:** verification of the creation of intercompany purchase order.

In the sales order form > Action pane > General > Related information > Related orders.

| Finance and Operations                                                                                                                                                                                                                                                                                                                                                                                                                        |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|--------------------|----------------|-------------|---------|----------|------|---------------|---------------|---------------|------|-----------|------------|----------|
| Search for a page                                                                                                                                                                                                                                                                                                                                                                                                                             |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
| USMF   Contoso Entertainment Syste...                                                                                                                                                                                                                                                                                                                                                                                                         |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
| Operation completed                                                                                                                                                                                                                                                                                                                                                                                                                           |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
| <div> <div> <div>Set up</div> <div>Print management Summary</div> </div> <div> <div>Customer</div> <div>Trade agreements Activities Cases</div> </div> <div> <div>Maintain</div> <div>Supplementary sales items</div> </div> <div> <div>General</div> <div>Related orders Postings Line quantity</div> </div> <div> <div>Warehouse</div> <div>Transportation</div> </div> <div> <div>Credit management</div> <div>Options</div> </div> </div> |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
| Sales order   Standard view                                                                                                                                                                                                                                                                                                                                                                                                                   |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
| 000886 : DEMF Customer                                                                                                                                                                                                                                                                                                                                                                                                                        |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
| <div> <div> <div>Lines</div> <div>Header</div> </div> <div> <div>DEMF Customer</div> <div>10/3/2024</div> </div> <div> <div>Address</div> <div>Portsmouth, NH 00210 USA</div> </div> <div> <div>Simulate delivery dates</div> </div> </div>                                                                                                                                                                                                   |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
| <div> <div>REFERENCES</div> <div>Customer reference</div> <div>Customer requisition</div> </div> <div> <div>WAREHOUSE</div> <div>Release status Open</div> <div>Order fulfillment policy</div> </div> <div> <div>TRANSPORTATION</div> <div>Routes</div> <div>Carrier customer account number</div> </div>                                                                                                                                     |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
| Sales order lines                                                                                                                                                                                                                                                                                                                                                                                                                             |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
| <div> <div>+ Add line</div> <div>+ Add lines</div> <div>Add products</div> <div>Remove</div> <div>Sales order line</div> <div>Financials</div> <div>Inventory</div> <div>Product and supply</div> <div>Update line</div> <div>Warehouse</div> <div>Retail</div> <div>Engineering change</div> </div>                                                                                                                                          |             |                    |                |             |         |          |      |               |               |               |      |           |            |          |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | Item number | Product name       | Sales category | CW quantity | CW unit | Quantity | Unit | Delivery type | CW deliver... | Adjusted u... | Site | Warehouse | Unit price | Discount |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1000        | Surface Pro 128 GB |                |             |         | 5.00     | ea   | Stock         |               | 0.00000       | 1    | 13        | 899.00     |          |

An intercompany purchase order has been automatically created in USMF.

| Intercompany purchase order |                        |              |         |                |            |        |                |
|-----------------------------|------------------------|--------------|---------|----------------|------------|--------|----------------|
| Purchase order              | Purchase order stat... | Intercompany | Company | Original sa... | Order type | Status | Customer       |
| 000036                      | Open order             | ✓            | DEMF    |                |            |        | Direct deli... |

**Step 4:** Post the packing slip in the USMF legal entity.

In the sales order form > Action pane > Pick and Pack > Generate > Post Packing Slip.

Finance and Operations

Search for a page

USMF | Contoso Entertainment System

Generate picking list  
Post packing slip  
Picking list registration  
Intercompany picking list

Quality management  
Non conformances  
Quality orders

Journals  
Picking list  
Packing slip

Sales order details | Standard view

000886 : DEMF Customer

Delivered

Lines Header

Sales order header

Sales order lines

+ Add line % Add lines Add products Remove Sales order line Financials Inventory Product and supply Update line Warehouse Retail Engineering change

| T... | Variant number | Item number | Product name       | Sales category | CW quantity | CW unit | Quantity | Unit | Delivery type | CW deliver... | Adjusted u... | Site | Warehouse | Unit pri |
|------|----------------|-------------|--------------------|----------------|-------------|---------|----------|------|---------------|---------------|---------------|------|-----------|----------|
|      |                | 1000        | Surface Pro 128 GB |                |             |         | 5.00     | ea   | Stock         |               | 0.00000       | 1    | 13        | 899.00   |

### Step 5: Verification of packing slip number

In the sales order form > Action pane > Pick and Pack > Journals > Packing Slip

Finance and Operations

Search for a page

USMF | Contoso Entertainment System

Preview/Print Vouchers Inquiries Intercompany Correct Cancel History Options

Packing slip journal | 000886 : DEMF Customer

Standard view

Overview Lines Order tracking

Filter

| Sales order | Packing slip | Version | Ship date | Invoice issue due d... | Terms | Mode of delivery | Blind ship... | Intercompany company | Intercompany purchase order | Posted via ... | Customer ... | Owner |
|-------------|--------------|---------|-----------|------------------------|-------|------------------|---------------|----------------------|-----------------------------|----------------|--------------|-------|
| 000886      | SPK-00001977 | 1       | 10/4/2024 |                        |       |                  |               | DEMF                 | 000036                      |                |              |       |

### Step 6: Confirm the purchase order in DEMF

In the purchase order form > Action pane > Purchase > Action > Confirm.

Finance and Operations

Search for a page

USMF | Contoso Entertainment System

Operation completed

Create Charges Tax Calculate Prepay Generate Actions Accounting Journals Vendor collaboration

Credit note Maintain charges Allocate charges Sales tax Multiline discount Total discount Supplementary items Tiered charges Prepayment Remove prepayment Purchase inquiry Confirmation Pro forma confirmation Confirm Finalize Distribute amounts View distributions Purchase inquiry Purchase order confirmations Send for confirmation Purchase orders sent for confirmation View response on latest sent order Purchase order vendor confirmations

All purchase orders | Standard view

000036 : USMF-001 - USMF Vendor

Open order Confirmed

Purchase order header

Purchase order lines

+ Add line % Add lines Add products Remove Purchase order line Financials Inventory Product and supply Update line Warehouse Engineering change

| T... | Budget ch... | Line number | Item number | Product name       | Procurement category | Variant number | Site | Warehouse | CW quantity | CW unit | Quantity | Unit | Unit price | Adjusted u... | Discount |
|------|--------------|-------------|-------------|--------------------|----------------------|----------------|------|-----------|-------------|---------|----------|------|------------|---------------|----------|
|      |              | 2           | 1000        | Surface Pro 128 GB |                      |                | 1    | 11        |             |         | 5.00     | ea   | 899.00     | 0.00000       |          |

### Step 7: Post the product receipt in DEMF

In the purchase order form > Action Pane > Receive > Generate > Product Receipt.

Verify that the product receipt number is auto-populated and it is the same as the packing slip number.

Standard view ▾  
Posting product receipt

Settings

Select Arrange Printer setup ▾ View charges

**PARAMETERS**  
Quantity  
Ordered quantity ▾  
Posting  
☒ Yes

**PRINT OPTIONS**  
Print  
Current ▾  
Print product receipt  
☐ No

Use print management destination  
☐ No  
Print sales documents  
☐ No

Print shelf labels  
☐ No  
Print product labels  
☐ No

**SETUP**  
Check credit limit  
None ▾  
**SUMMARY PURCHASE**  
Summary update for  
None ▾

Overview

+ Add Remove Totals Sales tax

|  | Update | Purchase order | Name        | Product receipt | Product receipt date | Document date | Terms of payment |
|--|--------|----------------|-------------|-----------------|----------------------|---------------|------------------|
|  |        | 000036         | USMF Vendor | SPK-00001977    | 10/4/2024            |               |                  |

**Step 8:** Post the customer invoice in the USMF legal entity

In the sales order form > Action pane > Generate > Invoice.

Finance and Operations

Search for a page

USMF | Contoso Entertainment System...

Generate Invoice Pro forma invoice  
Bill Payment schedule Cash flow forecasts  
Settle Open transactions  
Correction Credit invoicing  
Journals Invoice  
Deductions Attach credit to deduction Detach credit from deduction

Sales order details | Standard view ▾  
000886 : DEMF Customer  
Invoiced

Lines Header

Sales order header

Sales order lines

+ Add line + Add lines Add products Remove Sales order line ▾ Financials ▾ Inventory ▾ Product and supply ▾ Update line ▾ Warehouse ▾ Retail ▾ Engineering change ▾

| T... | Variant number | Item number | Product name       | Sales category | CW quantity | CW unit | Quantity | Unit | Delivery type | CW deliver... | Adjusted u... | Site | Warehouse | Unit pr |
|------|----------------|-------------|--------------------|----------------|-------------|---------|----------|------|---------------|---------------|---------------|------|-----------|---------|
|      |                | 1000        | Surface Pro 128 GB |                |             |         | 5.00     | ea   | Stock         |               | 0.00000       | 1    | 13        | 899     |

In the sales order form > Action pane > Journals > Invoice. Verify the invoice amount.

Finance and Operations

Search for a page

USMF | Contoso Entertainment System...

Totals Voucher Transactions Charges Posted sales tax Invoice Options

Accounting View distributions View accounting  
Ship Shipping specifications Bill of lading View historical load data  
Details Commission transactions  
Intercompany Synchronize batch/serial numbers Generate intercompany invoice  
Document View Send  
Properties Electronic document properties

Invoice journal | 000886 : DEMF Customer  
Standard view ▾

Filter

| Invoice      | Invoice account | Name          | Sales order | Date      | Voucher     | Currency | Invoice amount | Intercomp... | Intercomp... | Posted via ... | Line-specific | Dimension account | Payment ID |
|--------------|-----------------|---------------|-------------|-----------|-------------|----------|----------------|--------------|--------------|----------------|---------------|-------------------|------------|
| INV-00000719 | DEMF-001        | DEMF Customer | 000886      | 10/4/2024 | INV-1000... | USD      | 4,495.00       | DEMF         | 000036       |                |               |                   |            |

**Step 9:** Post the Vendor invoice in DEMF.

In the purchase order form > Action pane > Invoice > Generate > Invoice.

Verify that the Invoice number and invoice date fields are auto populated based on the customer invoice posted.

Finance and Operations

Search for a page

DEMF | Contoso Entertainment Syste...

Vendor invoice | Standard view

CIV-00000719 : USMF Vendor

Lines Header

Vendor invoice header

VENDOR

Company demf

Invoice account USMF-001

USMF Vendor

INVOICE IDENTIFICATION

Number CIV-000007...

Invoice description

RELATED DOCUMENTS

Purchase order 000036

Product receipt SPK-000019...

Purchase agreement

INVOICE DATES

Invoice received date 10/4/2024

Invoice date 10/4/2024

Date of vendor VAT register

Posting date 10/4/2024

Due date 10/14/2024

INVOICE STATUS DETAILS

On hold No

Credit correction No

Header budget check results

Budget check not performed

Lines

|  | Budget ch... | Item number | Item name          | Procurement category | Quantity | Unit | CW quantity | CW unit | Unit price | Line net a... | Site | Warehouse | Purchase order | Product re... | Auto-gene... |
|--|--------------|-------------|--------------------|----------------------|----------|------|-------------|---------|------------|---------------|------|-----------|----------------|---------------|--------------|
|  |              | 1000        | Surface Pro 128 GB |                      | 5.00     | ea   |             |         | 899.00     | 4,495.00      | 1    | 11        | 000036         | SPK-0000...   |              |

Click on post

Finance and Operations

Search for a page

DEMF | Contoso Entertainment Syste...

Generate

Invoice

Pro forma invoice

Prepayment invoice

Bill

Payment schedule

Cash flow forecasts

Settle

Open transactions

Introduce

Credit invoicing

Journals

Invoice

Pending invoices

All purchase orders | Standard view

000036 : USMF-001 - USMF Vendor

Invoiced

Confirmed

Lines Header

Purchase order header

DELIVERY

Requested receipt date 10/3/2024

Earliest confirmed receipt date

DISCOUNTS

Total discount % 0.00

VENDOR

Contact

REPLENISHMENT

Service category

Location

CROSS DOCKING DATES

Requested receipt date 10/3/2024

Cross docking date

Local delivery date

Sales date

PRODUCT/ORDER CREATION

Auto created No

Origin Purchase

Purchase order lines

|  | T... | Budget ch... | Line number | Item number | Product name       | Procurement category | Variant number | Site | Warehouse | CW quantity | CW unit | Quantity | Unit | Unit price | Adjusted u... | Discou |
|--|------|--------------|-------------|-------------|--------------------|----------------------|----------------|------|-----------|-------------|---------|----------|------|------------|---------------|--------|
|  |      |              | 2           | 1000        | Surface Pro 128 GB |                      |                | 1    | 11        |             |         | 5.00     | ea   | 899.00     | 0.00000       |        |

**Scenario 2:** Purchase order initiated intercompany chain (two-legged).

**Step 1:** Create a Purchase Order in DEMF

Standard view

**Create purchase order**

**ADDRESS**

Delivery name: Site 1 - DE

Address: Domstrasse 321  
30159 Hannover  
deu

Delivery address: Site 1 - DE

General 000063

**PURCHASE ORDER**

Purchase order: 000063

Purchase type: Purchase order

Invoice account: USMF-001

Name: USMF Vendor

**STORAGE DIMENSIONS**

Site: 1

Warehouse: 11

**DATES**

Accounting date: 10/4/2024

Requested receipt date: 10/4/2024

**INTERCOMPANY**

Intercompany: ☒ Yes

usmf

**REFERENCES**

Project ID:

Purchase agreement:

**OK** Cancel

**Step 2:** Add the item number and the quantity to the purchase order line.

Purchase order lines

|  |  | T... | Budget ch... | Line number | Item number | Product name       | Procurement category | Variant number | Site | Warehouse | CW quantity | CW unit | Quantity | Unit | Unit price | Adjusted u... | Disc |
|--|--|------|--------------|-------------|-------------|--------------------|----------------------|----------------|------|-----------|-------------|---------|----------|------|------------|---------------|------|
|  |  |      |              |             | 1000        | Surface Pro 128 GB |                      |                | 1    | 11        |             |         | 7.00     | ea   | 1,900.00   | 0.00000       |      |

**Step 3:** Verify that an intercompany sales order is created in USMF.

In the Purchase order from > Action Pane > General > Related information > Related orders.

Intercompany sales order

|  |  | Sales order | Intercomp... | Company | Order type  | Status     | Document status | Document | Document date |
|--|--|-------------|--------------|---------|-------------|------------|-----------------|----------|---------------|
|  |  | dem000063   | ✓            | usmf    | Sales order | Open order | None            |          |               |

**OK**

**Step 4:** Confirm the sales order in USMF legal entity

**Step 5:** Post the packing slip in the USMF legal entity.

In the sales order form > Action pane > Pick and Pack > Generate > Post Packing Slip.

Finance and Operations | Search for a page | USMF | Contoso Entertainment System...

Generate | Quality management | Journals

Generate picking list | Post packing slip | Non conformances | Picking list  
Picking list registration | Pro forma packing slip | Quality orders | Packing slip  
Intercompany picking list

Sales order details | Standard view

demf000063 : DEMF Customer | Delivered

Lines | Header

Sales order header

Sales order lines

| Line | Item category | CW quantity | CW unit | Quantity | Unit | Delivery type | CW deliver... | Adjusted u... | Site | Warehouse | Unit price | Discount | Discount p... | Net amount | Adjusted a... | Quality order statu |
|------|---------------|-------------|---------|----------|------|---------------|---------------|---------------|------|-----------|------------|----------|---------------|------------|---------------|---------------------|
| 1    |               |             |         | 7.00     | ea   | Stock         |               | 0.00000       | 1    | 13        | 899.00     |          |               | 6,293.00   | 0.00          |                     |

**Step 6:** Confirm the purchase order in the DEMF legal entity.

Finance and Operations | Search for a page | DEMF | Contoso Entertainment System...

Operation completed

Create | Charges | Tax | Calculate | Prepay | Generate | Actions | Accounting | Journals | Vendor collaboration

Credit note | Maintain charges | Sales tax | Multiline discount | Supplementary items | Prepayment | Purchase inquiry | Confirm | Distribute amounts | Purchase inquiry | Send for confirmation | View response on latest sent order  
Allocate charges | Total discount | Tiered charges | Remove prepayment | Confirmation | View distributions | Purchase order confirmations | Purchase orders sent for confirmation | Purchase order vendor confirmatic

All purchase orders | Standard view

000063 : USMF-001 - USMF Vendor | Open order | Confirmed

Lines | Header

Purchase order header

Purchase order lines

| Line | Item number | Product name       | Procurement category | Variant number | Site | Warehouse | CW quantity | CW unit | Quantity | Unit | Unit price | Adjusted u... | Discount | Discount p... |
|------|-------------|--------------------|----------------------|----------------|------|-----------|-------------|---------|----------|------|------------|---------------|----------|---------------|
| 1    | 1000        | Surface Pro 128 GB |                      |                | 1    | 11        |             |         | 7.00     | ea   | 899.00     | 0.00000       |          |               |

**Step 7:** Verification of packing slip in USMF legal entity

In the sales order form > Action pane > Pick and Pack > Journals > Packing Slip

Finance and Operations | Search for a page | USMF | Contoso Entertainment System...

Preview/Print | Vouchers | Inquiries | Intercompany | Correct | Cancel | History | Options

Packing slip journal | demf000063 : DEMF Customer

Standard view

Overview | Lines | Order tracking

Filter

| Sales order | Packing slip | Version        | Ship date | Invoice issue due d... | Terms | Mode of delivery | Blind ship... | Intercompany company | Intercompany purchase order | Posted via ... | Customer ... | Owner |
|-------------|--------------|----------------|-----------|------------------------|-------|------------------|---------------|----------------------|-----------------------------|----------------|--------------|-------|
| demf000063  | SPK-00001980 | SPK-00001980.1 | 10/4/2024 |                        |       |                  |               | demf                 | 000063                      |                |              |       |

**Step 8:** Post the product receipt in the DEMF legal entity.

In the purchase order form > Action Pane > Receive > Generate > Product Receipt.

Verify that the product receipt number is auto-populated, and it is the same as the packing slip number.

Standard view ▾  
Posting product receipt

Posting ☒ Yes    Print product receipt ☐ No    ☐ No    ☐ No    SUMMARY PURCHASE  
Summary update for: None ▾

Overview

|                                  | Update          | Purchase order | Name        | Product receipt     | Product receipt date | Document date | Terms of payment |
|----------------------------------|-----------------|----------------|-------------|---------------------|----------------------|---------------|------------------|
| <input checked="" type="radio"/> | Product receipt | 000063         | USMF Vendor | <b>SPK-00001980</b> | 10/4/2024            |               |                  |

Lines

|                                  | Purchase order | Line number | Item number | Procurement category | Text               | Site | Warehouse | CW update | Quantity o... | Quantity | Deliver re... | Unit price | Vendor batch date | Line net i |
|----------------------------------|----------------|-------------|-------------|----------------------|--------------------|------|-----------|-----------|---------------|----------|---------------|------------|-------------------|------------|
| <input checked="" type="radio"/> | 000063         | 1           | 1000        |                      | Surface Pro 128 GB | 1    | 11        |           | 7.00          | 7.00     |               | 899.00     |                   | 6,293.00   |

**OK** Cancel Bat

Finance and Operations    Search for a page    DEMF | Contoso Entertainment Syste...    ⚙

Operation completed

←    Save    + New    Delete    Purchase order    Purchase    Manage    **Receive**    Invoice    Retail    Warehouse    Transportation    General    Options    ↗

**Generate**    Receipts list    Pro forma receipts list    **Delivery**    Transportation details    **Journals**    Receipts list    Product receipt

All purchase orders  
Standard view ▾  
000063 : USMF-001 - USMF Vendor

**Received**    Confirmed

Lines    Header

Purchase order header

**Step 9:** Post the customer invoice in the USMF legal entity

In the sales order form > Action pane > Generate > Invoice.

Finance and Operations

Search for a page

USMF | Contoso Entertainment Syste...

Save + New Delete Sales order Sell Manage Pick and pack Invoice Commerce General Warehouse Transportation Credit management Options

Generate Invoice Pro forma invoice Bill Payment schedule Cash flow forecasts Settle Open transactions Correction Credit invoicing Journals Invoice Deductions Attach credit to deduction Detach credit from deduction

Sales order details | Standard view

demf000063 : DEMF Customer

Lines Header

Sales order header

Sales order lines

+ Add line + Add lines Add products Remove Sales order line Financials Inventory Product and supply Update line Warehouse Retail Engineering change

| Variant number | Item number | Product name       | Sales category | CW quantity | CW unit | Quantity | Unit | Delivery type | CW deliver... | Adjusted u... | Site | Warehouse | Un |
|----------------|-------------|--------------------|----------------|-------------|---------|----------|------|---------------|---------------|---------------|------|-----------|----|
|                | 1000        | Surface Pro 128 GB |                |             |         | 7.00     | ea   | Stock         |               | 0.00000       | 1    | 13        |    |

In the sales order form > Action pane > Journals > Invoice. Verify the invoice amount.

Finance and Operations

Search for a page

USMF | Contoso Entertainment Syste...

Totals Voucher Transactions Charges Posted sales tax Invoice Options

Accounting View distributions View accounting Ship Shipping specifications Bill of lading View historical load data Details Commission transactions Synchronize batch/serial numbers Generate intercompany invoice Document View Send Properties Electronic document properties

Invoice journal | demf000063 : DEMF Customer

Standard view

Filter

| Invoice      | Invoice account | Name          | Sales order | Date      | Voucher     | Currency | Invoice amount | Intercomp... | Intercomp... | Posted via ... | Line-specific | Dimension account | Payment ID |
|--------------|-----------------|---------------|-------------|-----------|-------------|----------|----------------|--------------|--------------|----------------|---------------|-------------------|------------|
| CIV-00000722 | DEMF-001        | DEMF Customer | demf000063  | 10/4/2024 | INV-1000... | USD      | 6,293.00       | demf         | 000063       |                |               |                   |            |

**Step 10:** Post the vendor invoice in DEMF legal entity.

In the purchase order form > Action pane > Invoice > Generate > Invoice.

Verify that the Invoice number and invoice date fields are auto-populated based on the customer invoice posted.

Finance and Operations

Search for a page

USMF | Contoso Entertainment Syste...

Save + New Delete Match product receipts Totals Post Default from: Product receipt quantity Attachments (0) Vendor invoice Financials Review Process Options

New New from template Save to template Actions Apply prepayment Open lines in Excel Delivery Transportation details

Vendor invoice | Standard view

CIV-00000722 : USMF Vendor

Lines Header

Vendor invoice header

VENDOR Company demf Invoice account USMF-001 USMF Vendor

INVOICE IDENTIFICATION Number CIV-00000722 Invoice description

RELATED DOCUMENTS Purchase order 000063 Product receipt SPK-000019... Purchase agreement

INVOICE DATES Invoice received date 10/4/2024 Invoice date 10/4/2024 Date of vendor VAT register

Posting date 10/4/2024 Due date 10/14/2024

INVOICE STATUS DETAILS On hold No Credit correction No Header budget check results Budget check not performed

Lines

+ Add line Remove Invoice line Financials Inventory Update line

| Budget ch... | Item number | Item name          | Procurement category | Quantity | Unit | CW quantity | CW unit | Unit price | Line net a... | Site | Warehouse | Purchase order | Product re... | Auto-gene |
|--------------|-------------|--------------------|----------------------|----------|------|-------------|---------|------------|---------------|------|-----------|----------------|---------------|-----------|
|              | 1000        | Surface Pro 128 GB |                      | 7.00     | ea   |             |         | 899.00     | 6,293.00      | 1    | 11        | 000063         | SPK-0000...   |           |

Click on post

Finance and Operations

Search for a page

DMF | Contoso Entertainment System...

Save + New Delete Purchase order Purchase Manage Receive Invoice Retail Warehouse Transportation General Options

Generate Invoice Pro forma invoice Prepayment invoice Bill Payment schedule Cash flow forecasts Settle Open transactions Introduce Credit invoicing Journals Invoice Pending invoices

All purchase orders

Standard view

000063 : USMF-001 - USMF Vendor

Invoked Confirmed

Lines Header

Purchase order header

Purchase order lines

| Item number | Product name | Procurement category | Variant number | Site | Warehouse | CW quantity | CW unit | Quantity | Unit | Unit price | Adjusted u... | Discount | Discount p... | Net amount |
|-------------|--------------|----------------------|----------------|------|-----------|-------------|---------|----------|------|------------|---------------|----------|---------------|------------|
| 1           | 1000         | Surface Pro 128 GB   |                | 1    | 11        |             |         | 7.00     | ea   | 899.00     | 0.00000       |          |               | 6,293.00   |

### Scenario 3: Auto Settlement of Intercompany Customer Invoice.

In this scenario let's concentrate on how we can automatically post customer payment journals and settle intercompany invoices while posting vendor payments in other trading company.

#### Pre-requisite Setups:

- In the USMF legal entity, navigate to General Ledger > Journal Setup > Journal Names.
- Make sure that there is a customer payment journal configured.

Finance and Operations

Search for a page

USMF | Contoso Entertainment System...

Save + New Delete Journal control Posting restrictions Options

Filter

Standard view

Journal names

| Name    | Description      |
|---------|------------------|
| CustPay | Customer Payment |

General

Journal type: Customer payment

Blocking: Private for user group

Offset account proposal: Fixed offset account: No

Detail level: Details

Fees posting: Keep fees in journal

SALES TAX: Amounts include sales tax: No

Hide sales tax fields in journal en...: No

BANK: Summarize amounts in bank acc...: No

Summarization criteria: Do not summarize

APPROVAL: Active: No

APPROVAL WORKFLOW: Approval workflow: No

Workflow:

VOUCHER NUMBER: Voucher series: CustPay\_01

New voucher: In connection with balance

Number allocation at posting: No

Document:

ACCOUNT TYPE: Account type: Bank

Offset account: USMF OPER

POSTING: Posting layer: Current

CURRENCY: Fixed rate: No

Currency:

Financial dimensions

- In the USMF legal entity, navigate to Account Receivables > Customers > All customers.
- Select the relevant customer from the list.
- From the action pane, click on General > Setup > Intercompany.
- Click on the Sales order policies fast tab.
- Tag the customer payment journal and enable the post journal automatically check box.

Finance and Operations Search for a page USMF | Contoso Entertainment Syste

Save Options

DEMF-001 : DEMF Customer | Standard view

### Intercompany

Trading relationship

Purchase order policies

Purchase value mapping

Purchase agreement policies

**Sales order policies**

Sales value mapping

Sales agreement policies

#### Set up sales action policies

##### INTERCOMPANY SALES ORDER CREATION

Sales order numbering  
Company + original number

Number sequence code

☐ Allow summary update of documents for original customer

☐ Print picking list automatically

##### INTERCOMPANY SALES ORDER -> INTERCOMPANY PURCHASE ORDER

Select the appropriate checkbox or checkboxes to sync the following data.

☐ Customer information on the header

☐ RMA number on the header

☐ Batch number on inventory transactions

☐ Serial number on inventory transactions

☐ Batch number on order lines

☐ Serial number on order lines

☐ Disable requested ship and receipt dates synchronization

##### PAYMENT

Payment journal  
CustPay

☒ Post journal automatically

##### INTERCOMPANY CUSTOMER INVOICE POSTING

☒ Unit price equal to cost price

☐ Initiate original customer invoice posting

##### INTERCOMPANY SALES ORDER PRICES

☒ Price and discount search

☐ Price and discount search for derived line creation

☒ Allow price edit

☒ Allow discount edit

Let's consider a sales order initiated intercompany chain (Same as scenario 1)

**Step 1:** Create a Sales Order in USMF.

**Step 2:** Add the item and quantity to the sale order line.

**Step 3:** Verify that an intercompany purchase order has been created in DEMF

**Step 4:** Post the packing slip in the USMF legal entity.

**Step 5:** Confirm the intercompany purchase order in DEMF.

**Step 6:** Post the product receipt in the DEMF legal entity. Verify that the product receipt number is auto-filled and same as the packing slip number posted in USMF.

**Step 7:** Post the customer invoice in USMF.

**Step 8:** Post the vendor invoice in DEMF. Verify that the invoice number and invoice date are auto-filled. Note down the invoice voucher number.

Finance and Operations Search for a page DEMF | Contoso Entertainment Syste

Options

000065 : USMF Vendor | Standard view

### Invoice journal

Filter

Overview Lines Remittance

Preview/Print Voucher View distributions View accounting Charges Transactions Posted sales tax Electronic document properties

| Purchase order | Date      | Invoice      | Voucher     | Currency | Sales tax | Invoice amount | Company | Sales order | Voucher | Posted via ... | Due date | Invoice register date | Invoice reg... |
|----------------|-----------|--------------|-------------|----------|-----------|----------------|---------|-------------|---------|----------------|----------|-----------------------|----------------|
| 000065         | 10/4/2024 | CIV-00000724 | PIV-1100... | USD      | 0.00      | 4,495.00       | usmf    | 000911      |         | 10/14/2024     |          |                       |                |

**Step 9:** In DEMF navigate to Accounts Payable > Payments > Vendor Payment Journal.

**Step 10:** Create a new vendor payment journal record.

Finance and Operations

Vendor payment journal

Standard view

Show: Not posted

List: General Setup Blocking Financial dimensions History

| Journal... | Name    | Description    | Posted                   | Posted on | Log                      | In use by | Modified by | Rejected by |
|------------|---------|----------------|--------------------------|-----------|--------------------------|-----------|-------------|-------------|
| 00134      | VendPay | Vendor Payment | <input type="checkbox"/> |           | <input type="checkbox"/> |           |             |             |

**Step 11:** Select the Vendor account and click on Settle transactions.

Finance and Operations

Vendor payments | 00134: VendPay

Standard view

List: General Payment Payment fee Payment message Remittance Bank History

+ New Delete Settle transactions Financial dimensions Sales tax Payment status Voucher View marked transactions

| Date      | Voucher    | Company | Account  | Vendor name | Description | Debit | Credit | Currency | Offset account type | Offset account | Method of payment | Payment status | Check nu... |
|-----------|------------|---------|----------|-------------|-------------|-------|--------|----------|---------------------|----------------|-------------------|----------------|-------------|
| 10/4/2024 | APPM000... | demf    | USMF-001 | USMF Vendor |             |       |        | USD      | Bank                |                |                   | None           |             |

**Step 12:** Select the invoice voucher line from the list and click on mark selected. Click on ok

Standard view

Settle transactions for USMF Vendor

Overview General Payment Settlement Remittance Cash discount Financial dimensions Withholding tax

Mark selected Unmark all Show marked Apply payment schedule Inquiry

| Mark                                | Fully settle             | Invoice      | Due date   | Cash discount date | Amount   | Currency | Amount to... | Amount to... | Cross rate | Consolidat... |
|-------------------------------------|--------------------------|--------------|------------|--------------------|----------|----------|--------------|--------------|------------|---------------|
| <input checked="" type="checkbox"/> | <input type="checkbox"/> | CIV-00000724 | 10/14/2024 |                    | 4,495.00 | USD      | -4,495.00    | -4,495.00    |            |               |

**Step 13:** Select the offset account type and offset account

Finance and Operations

Vendor payments | 00134: VendPay

Standard view

List: General Payment Payment fee Payment message Remittance Bank History

+ New Delete Settle transactions Financial dimensions Sales tax Payment status Voucher View marked transactions

| Date      | Voucher    | Company | Account  | Vendor name | Description  | Debit    | Credit | Currency | Offset account type | Offset account | Method of payment | Payment status | Check nu... |
|-----------|------------|---------|----------|-------------|--------------|----------|--------|----------|---------------------|----------------|-------------------|----------------|-------------|
| 10/4/2024 | APPM000... | demf    | USMF-001 | USMF Vendor | Intercompany | 4,495.00 |        | USD      | Bank                | DEMF OPER      |                   | None           |             |

Step 14: validate and post the vendor payment journal.

Finance and Operations

Search for a page

DEMO

RA

Operation completed

Number of vouchers posted to the journal: 1

Transferring payments for intercompany accounts

Save Post Post in batch Validate Payment proposal Generate payments Functions Inquiries Print Reverse entire journal Options

Vendor payments | 00134 : VendPay

Standard view

List General Payment Payment fee Payment message Remittance Bank History

+ New Delete Settle transactions Financial dimensions Sales tax Payment status Voucher View marked transactions

| Date      | Voucher    | Company | Account  | Vendor name | Description  | Debit    | Credit | Currency | Offset account type | Offset account | Method of paym |
|-----------|------------|---------|----------|-------------|--------------|----------|--------|----------|---------------------|----------------|----------------|
| 10/4/2024 | APPM000064 | demf    | USMF-001 | USMF Vendor | Intercompany | 4,495.00 |        | USD      | Bank                | DEMF OPER      |                |

Message details

Transferring payments for intercompany accounts

Company: Contoso Entertainment System USA

Payment journal 00641 was created. Create and post draw journal automatically when posting invoices

Company: Contoso Entertainment System USA

Number of vouchers posted to the journal: 1

Step 15: Verification of auto-created and posted customer payment journal in USMF.

Finance and Operations

Search for a page

Save +New Delete Enter customer payments Lines Open lines in Excel Validate Post Approval Inquiries Print Unlock Options

Customer payment journal

Standard view \*

Show 

Posted

☐ Show user-created only

List General Setup Blocking Financial dimensions History

Journal batch ...

00641

CustPay

Intercompany

Posted

✓

Posted on

10/4/2024 11:52:59 AM

Log

I...

In use by

Modified by

Ram.Pampana

Rejected by

Click on Lines and verify the details.

Finance and Operations

Search for a page

USMF | Contoso Entertainment Syste...

Save Post Post in batch Validate Period journal Payment proposal Functions Inquiries Print Reverse entire journal Options

Customer payments | 00641 : CustPay

Standard view

List General Payment fee Bank History Payment Postdated checks

+ New Delete Settle transactions Settle invoice lines Financial dimensions Sales tax Payment status Voucher Deductions View marked transactions

| Date      | Voucher    | Company | Account  | Account name  | Invoice | Description           | Debit | Credit   | Currency | Offset account type | Offset account | Method of payment | Payment status |
|-----------|------------|---------|----------|---------------|---------|-----------------------|-------|----------|----------|---------------------|----------------|-------------------|----------------|
| 10/4/2024 | ARPM000911 | usmf    | DEMF-001 | DEMF Customer |         | Invoice: CIV-00000724 |       | 4,495.00 | USD      | Bank                | USMF OPER      |                   | None           |

Thanks for showing interest. Happy Learning.

Next Article: Three-Legged Intercompany Chain.